CO-OPERATIVE BANK OF KENYA LTD

Q2 2016 GROUP FINANCIAL RESULTS

INVESTOR BRIEFING

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Macroeconomic Environment

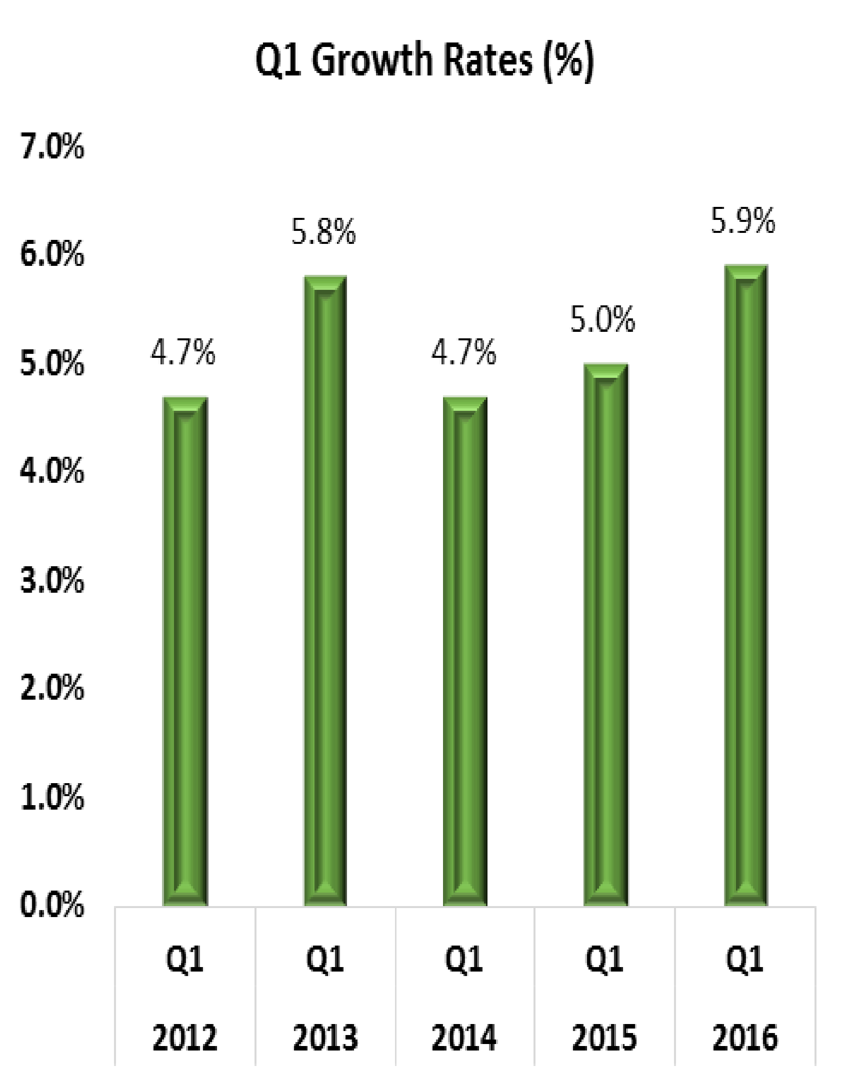
Economic Growth

- Kenya's 2016 first quarter GDP grew the fastest compared to similar periods over the last 5 years at 5.9%,
- Most sectors of the economy registered positive growth rates.

- Tourism expanded by 12.1% in 1Q2016 compared to a contraction of 11.4% in 1Q2015.

- Manufacturing/industrial sector stagnated slightly due to competitive imports, low productivity and falling share of imports into EAC countries.
- Agriculture has increased its share of GDP supported by favorable climatic conditions.
- Tourism rebound, low oil prices and continued government & household spending likely to drive the remainder of 2016.

- The effects of Brexit have not fully materialised and may pose more risks.



❖ Inflation

- Overall inflation rate was moderately stable averaging 6.2% in 1H2016 compared to 6.4% in 1H2015.
- Given moderately low oil prices and harvest of cereals in September, we do not expect major spikes in inflation rate. The rise in maize flour prices is likely to reverse as part of the price pressure is artificial.

❖ Exchange Rate

- The KES has been relatively stable against the USD. It has traded at a rate of KES 100.50 - 102.50 in the 1H2016.
- A fall in the import bill and marginally rising exports has favoured the KES.
- CBK was also on the look-out to tame any speculative trading around the “Brexit” period.

❖ Liquidity & Interest Rates

- The money market has been liquid in 1H2016.
- Most banks have preferred to build up on liquidity and also reduced risk appetite resulting in slow industry loan growth.
- The MPC revised KBRR on 25th July 2016 to 8.9% from 9.87%. Interest rates on KBRR-linked loans will thus fall by the same margin by 25th August 2016.

Key Strategic Pillars

A Successful Universal Banking Model

Co-operatives Banking

-Large Saccos

-Housing Saccos

-Agri Business

-PSV/ Transport Saccos

- Investment Saccos

Retail Banking

-Micro Credit

-Small Medium Enterprises (SME)

-Personal Banking (mass & affluent)

-Diaspora Banking

-Banking the youth (Yea & Jumbo Junior)

- Asset Finance

Corporate & Institutional Banking

-Corporate banking

-Government Banking

- Institutional Banking

- Structured, Trade & Commodity Finance

-NGO's

-Treasury

Subsidiaries:

-Co-op Consultancy (Advisory services) & Insurance Agency(Banc assurance)

-Co-op-Trust Investment services Ltd

-Kingdom Securities Ltd

-Co-op Bank Foundation

Regional Expansion

-Co-op Bank of South Sudan

-CIC Africa South Sudan(31% by Co-opBank South Sudan)

Associates:

-CIC Insurance (26% owned)

- CIC Insurance Regional expansion to South Sudan, Uganda and Malawi

Innovative Customer Delivery Platforms

- E-Channels; Mcoop Cash(All Telco, all Product with 2.85 Million Customers), Internet Banking(Corporate& Retail)
- 144 branches, Over 8700 Agency Banking
- ATMs, over 570 , leading issuer of debit cards
- 13 M Member Coop Movement, 5.97 M & growing direct account holders
- 933,928 Sacco Link Customers & over 555 FOSAs
- Subsidiaries businesses

"Soaring Eagle" Transformation Project

The Co-op Bank Group soars on!

Branch Transformation and Channel Migration

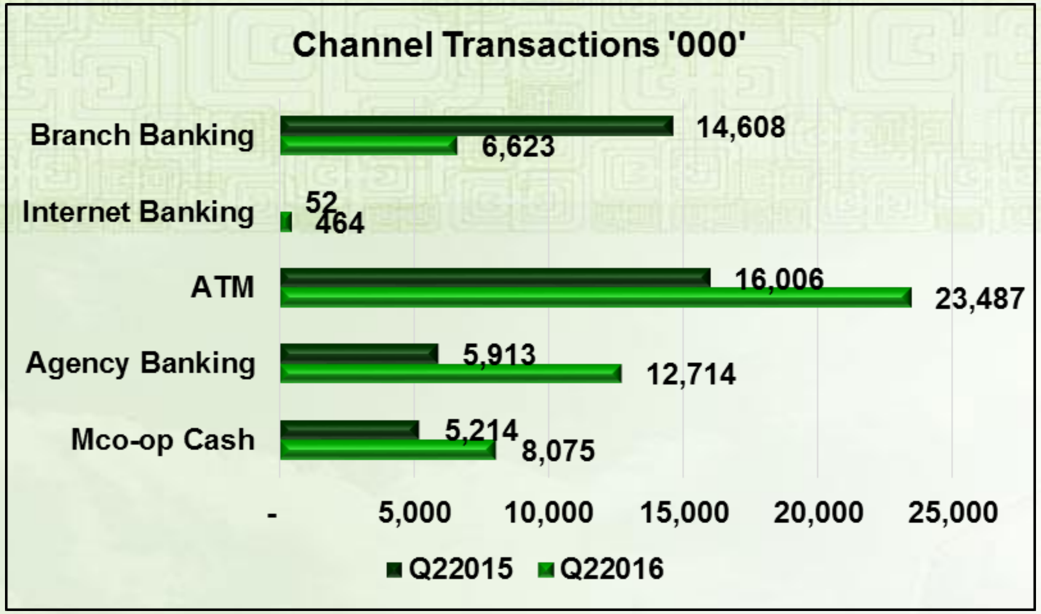
- We have Successfully completed Branch Transformation Phase I, and embarked on Phase II focusing on sales optimization.
- Transformation initiatives have lead to significant growth of transactions through alternative channels.
- Over 87% of our transactions are now in other alternative channels.
- Queue time has consistently been maintained at an average of 10 minutes, better than the target of 15 minutes
- The Back Office to Front Office staff ratio has improved from 55%:45% to 65:35% against a target of 70%:30%
- The use of CRM as a tool of lead generation has enabled bankers to proactively generate a sales growth of 21%

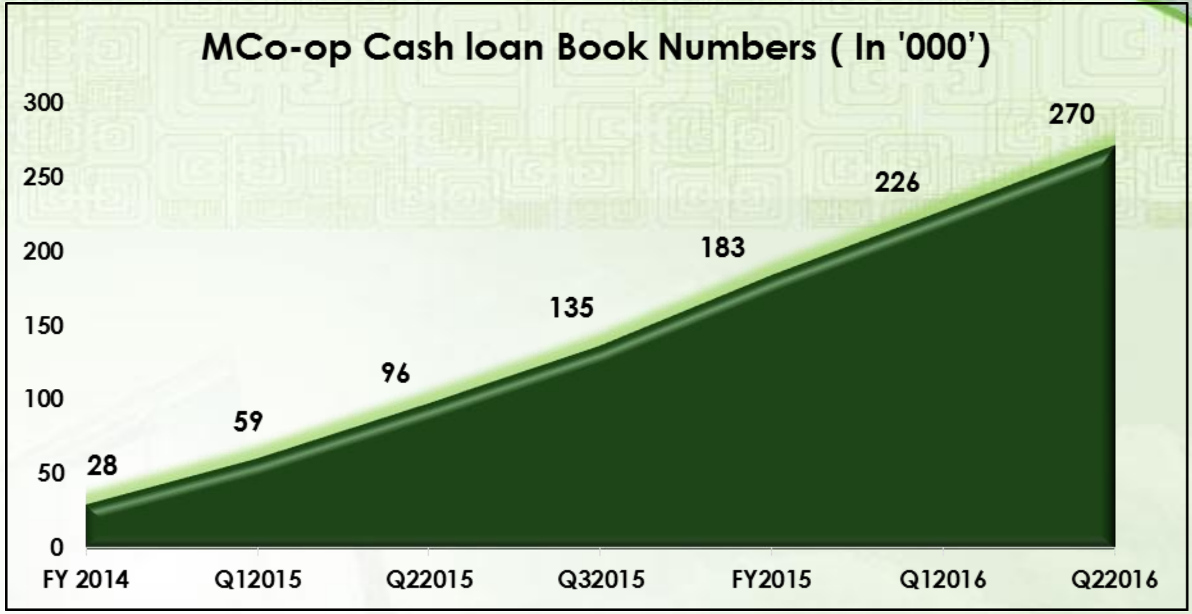
Comparison between Quarter 2 2015 and Quarter 2 2016 shows exponential growth in transactions

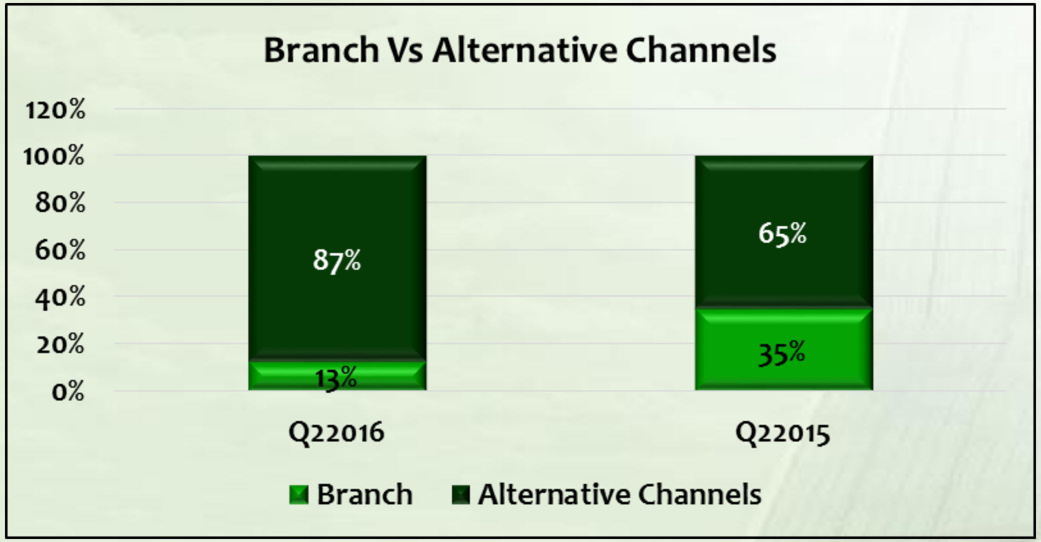
a) M Co-op cash Transactions + 55%
b) Internet Banking + 792%
c) External Tellers (Co-op Kwa Jirani) + 115%
d) In Branch - 55%

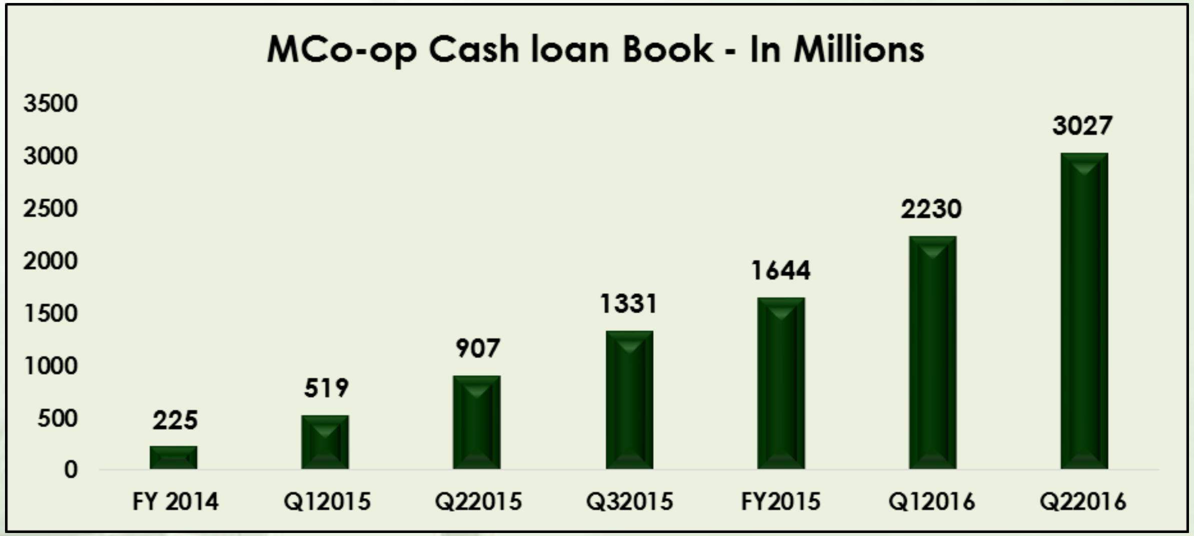
Branch Transformation and Channel Migration

Deepening Financial Inclusion with alternative channels









Sales Force Effectiveness (SFE)

COLLABORATE → COMPREHENSIVE → CONVERSION

SFE initiatives have enabled us to maximize business (Wallet Share) by generating new opportunities from the Bank's existing clients. Key SFE highlights:

a) Enhanced and well structured Collaboration between Relationship Managers, Product houses, Segments and Channel Owners.
b) Launch of New Edge SFE 2.0 Playbook software with significant focus on conversion of identified opportunities
c) Comprehensively identifying opportunities though collaborative automated account planning ,deal pipelining process and Client Service Meetings
d) Sustained SFE rhythms such as morning huddles, Weekly steercos etc.

Shared Services and Digitization

BUSINESS TO BUSINESS (B2B) INTEGRATION

B2B integration is a solution where the bank is able to integrate directly with its customers' system such that when a transaction is done on any of the bank channel (Branch, POS, M Co-op Cash) the customer's system is automatically updated.

- ✓ The solution is ready and live on Teller portal and M-Coop Cash (for prioritized institutions); the Agent POS is still under tests.
- ✓ Corporate customers are transacting successfully

INTERACTIVE VOICE RESPONSE (IVR) SYSTEM

The IVR system enabling Bank customers calling the contact center to get account balances and Card PIN resets (Code 106) through a system guided process. Hence freeing up time for Contact Center staff.

- ✓ *Balance enquiries and PIN resets represents about 20-30% of the calls traffic to contact center.*
- ✓ *Full utilization of the system will free up time for contact center staff to drive sales through telesales activities.*

INSTANT CARD ISSUING

Instant Card Issuing solution enabling customers to get debit cards and PIN instantly at the branches

- ✓ *16 Branches on board*

Supported by;

- *Modern & Robust BFUB Core Banking Software*
- *Tier 3 data center with the latest IBM servers (7 series)*
- *Specialized systems:*
  >>Bancasurrance systems
  >>Opics
  >>Trade Innovation >>Custodial
- *High level security certification*

Shared Services and Digitization (Continued)

Channel Enhancements

M Co-op Cash Enhancements:

a) Real time hunting,

b) M-Collections,

c) Bulk Payments,

d) Waiver of charge (first time balance enquiry),

e) Activation of dormant accounts.

Secure Conference Call system

Conference calls enable teams to have meeting remotely

- ✓ The solution is being used in Steercos, Problem solving sessions, and Regional meetings.
- ✓ This frees up time for staff reducing travelling to various meetings.

Account Plan Automation

Account Plan automation is a solution to enable RMs in updating Client Account plans in the system as opposed to Excel books. It also enable proper reporting on the progress

Data Analytics and Automation

Drive sales growth with lead generation

Customer 360 view reflecting all product holdings
- Segment customers by business line
- Determine next best product to buy

Drive proactive credit management

Accurately pull accurate transaction data by customer
- Incorporate changes in customer’s demographic data
- Incorporate past credit history

Enable frontline accountability with performance data

Produce P&L by business line at branch & aggregate level
- Isolate banker sales performance and progress over time
- Assess segment, product and customer profitability

- ✓ Automated performance management reports.
- ✓ Reports to track product holding, net revenue, and cost of funds per RM/banker and Per Customer
- ✓ Automation of statutory reports
- ✓ Churn prediction engine to produce churn prediction report for CRM Department
- ✓ Reports to track cost of funds to determine pricing to internal branches and departments

Proactive Credit Management

- Enhanced frontline support and free up time
- Collaboration and establishment of regular touch-points and provision of advisory services
- Enhancing systems processes and tooling to support Credit Management
- Proactive product curing
- Aggressive collections and follow-up to ensure a quality book

✓ Reduction of 1-89-day book

✓ Efficient Relegation of 90+ files to Remedial

✓ Sustained collaboration between Collections department and frontline teams through joint visits, role modelling/coaching and trainings.

✓ Sustained NPL 1.0 rhythms e.g. Weekly Steercos and problem solving sessions

✓ Enhanced collaborated agility in credit policy reviews to meet demand of the market

Staff Productivity

Customer-Centric Organization Structure

Performance driven culture

KPI Performance Based Appraisal System

Active Performance Improvement Programmes

Growth opportunities for the young and energetic team with 90% being under 40 years

Improved Staff productivity
* Staff Cost to Total Income improved from 17%-15% (+10%)

Supported by focused training across teams

Co-operative Bank Leadership and Management Centre

OMEGA

London Business School

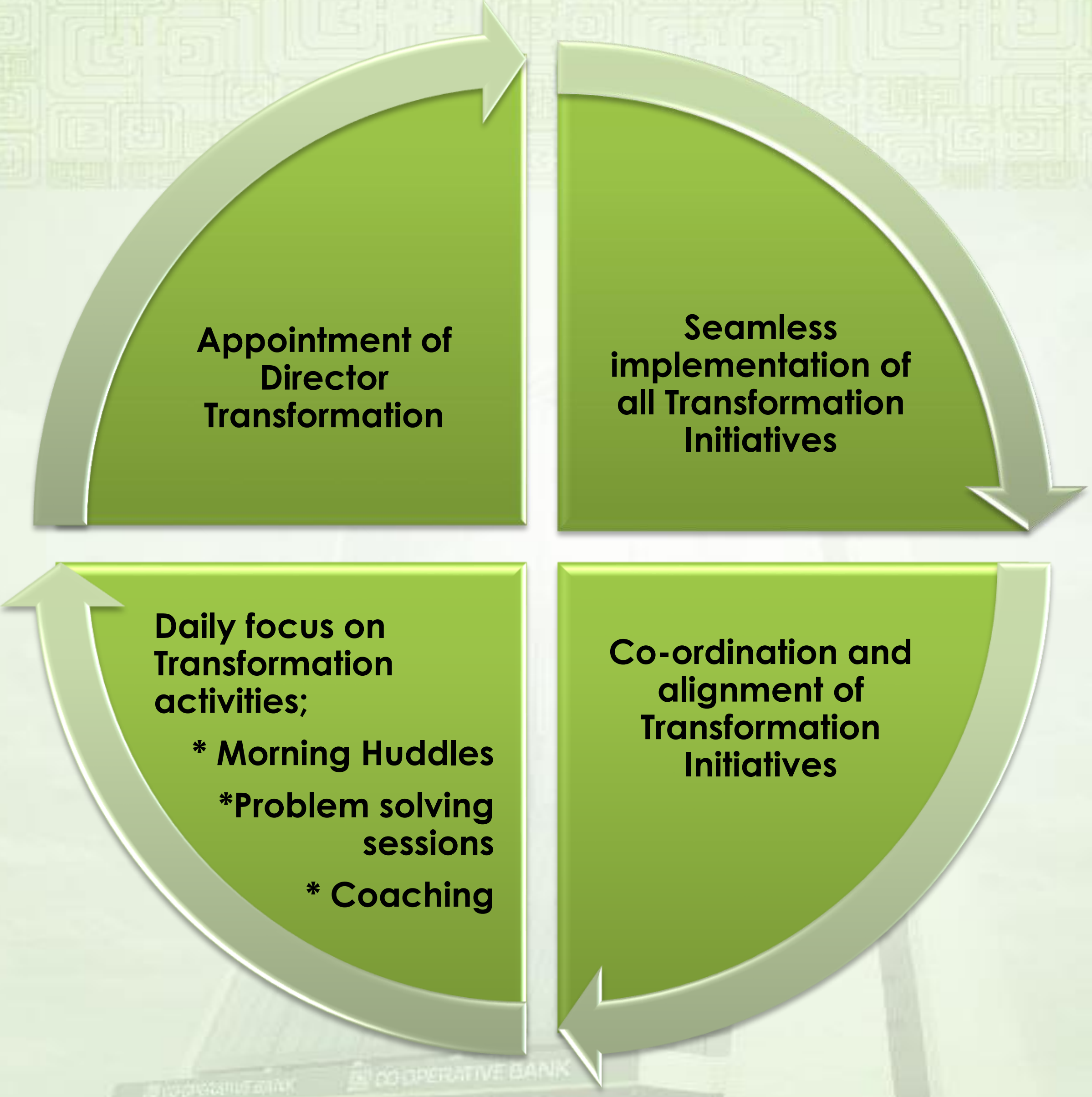
Improved Cost Efficiency

	Q2-2016	Q2-2015	FY - 2015
Cost to Income Ratio	45.30%	47.29%	53.2%

Key strategies implemented and supporting the cost to income ratio are as follows;

- Focus on electronic delivery channels thus reducing brick and mortar costs.
- Continuous review of our cost lines for optimization.
- Appointment and approvals of evaluation committee for all sourcing
- Expenditure Management Committee (EMC)
- Reviewed sourcing processes and procedures, including frequent retenders with significant savings.
- Market price comparison every 3 to 6 months
- Prequalification of suppliers every 6 months
- Renegotiated contracts with vendors especially systems.

Entrenched Transformation Function



Sustainable Financing from our Development Partners

Leveraged on strong balance sheet to secure single digit long-term debt of over US$ 337.39 M from developmental partners as hereunder:

- **IFC US$ 60 million (Kshs.5.1 billion) in USD fully drawn to fund SME's and agribusiness**
- **IFC US$105 (Kes10.7 Billion) > 7 year to finance SME's, construction and mortgage segments.**
- **EIB Euro 70 million (Kshs.8 billion) in Kshs (locked in Kshs at the exchange rate on disbursement) to fund SMEs**
- **IFAD, (Principal Loan of Kes 30 Million)-To finance the Eastern Province Horticultural and Traditional Food crops project**
- **AFD US$ 36 million (Kshs.3.14 billion) in USD to fund energy efficient and renewable energy projects**
- **DEG US$ 52.6 million (Kshs.4.68 billion) in USD to finance SME and Corporate customers**

Key Benefits

- ✓ Senior debt has enhanced asset-liability match
- ✓ Mitigated our shilling exposure
- ✓ Diversified our asset portfolio
- ✓ Expanded our client base to export-led FX rich sectors
- ✓ Boosted our competitive position on account of affordable lending rates

The Award winning Brand!

2016 AWARDS

2016 World Finance Awards

♦Best Commercial Bank, Kenya

African Banker Awards

♦The Best Socially Responsible Bank in East Africa

African Banker Awards

♦The Best Retail Bank in Kenya

The Award winning Brand!

2015 AWARDS

2015 Financial Times of London Awards

- ♦ Global best bank in Financial Inclusion 2015

2015 Financial Times –World Top 1,000 Banks

- ♦Best Commercial Bank in Kenya 2015

2015 World Finance Awards

- ♦With good Tier 1 Capital strength
- ♦Ranked highly in Africa in terms of; Return on Assets & Return on Capital

Unique Strategy for Regional Expansion

South Sudan

- Unique partnership with Government of S. Sudan (Co-op Bank 51% and GOSS 49%); the unique model offers 'inclusive growth'
- Currently operating 4 branches in Juba and 4 Non-oil collection centers. Owns 31% of CIC Africa Ltd- South Sudan
- The unique joint venture offers great opportunity for long-term sustainability of the business.
- The subsidiary made a profit before tax of Kshs29.22 Million in Q22016 despite the difficult economic Environment in the Country e.g. Devaluation of currency

Africa Market

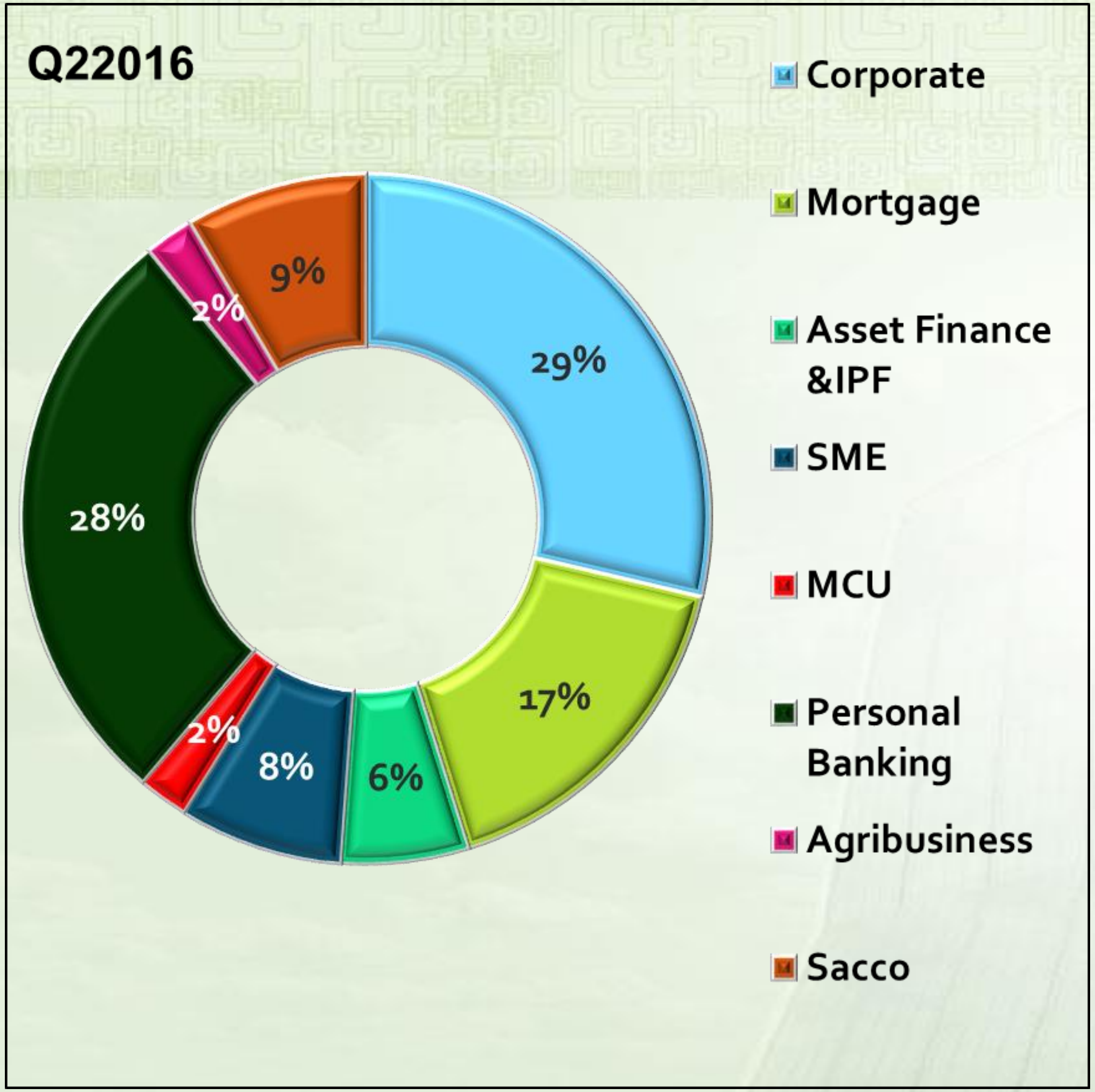
- Exceptional model to be applied in our new frontiers i.e. Rwanda, Uganda, Ethiopia, DRC & Tanzania to be implemented over the next 5 years.

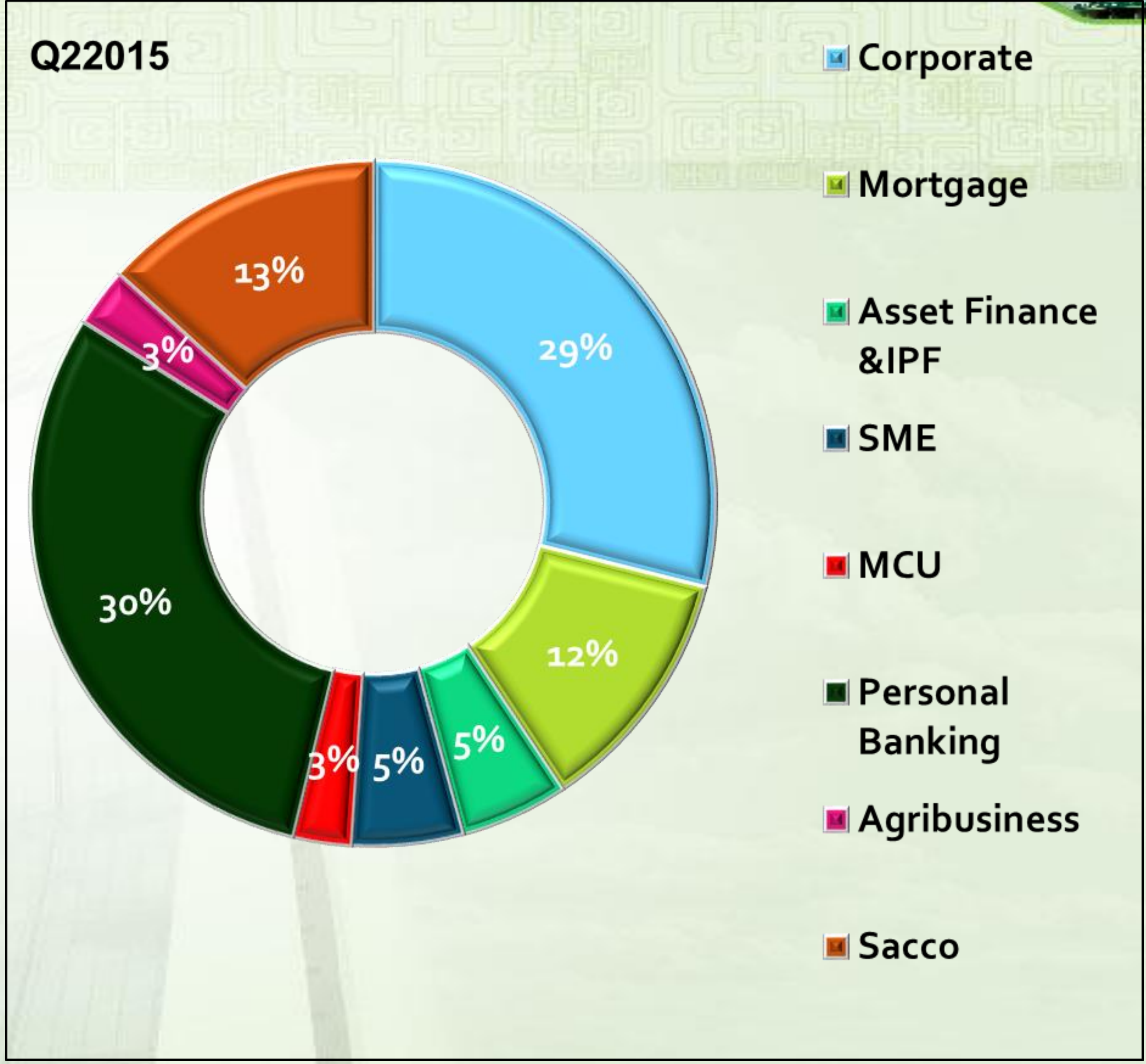
Key Financial Highlights

A Soaring Bank

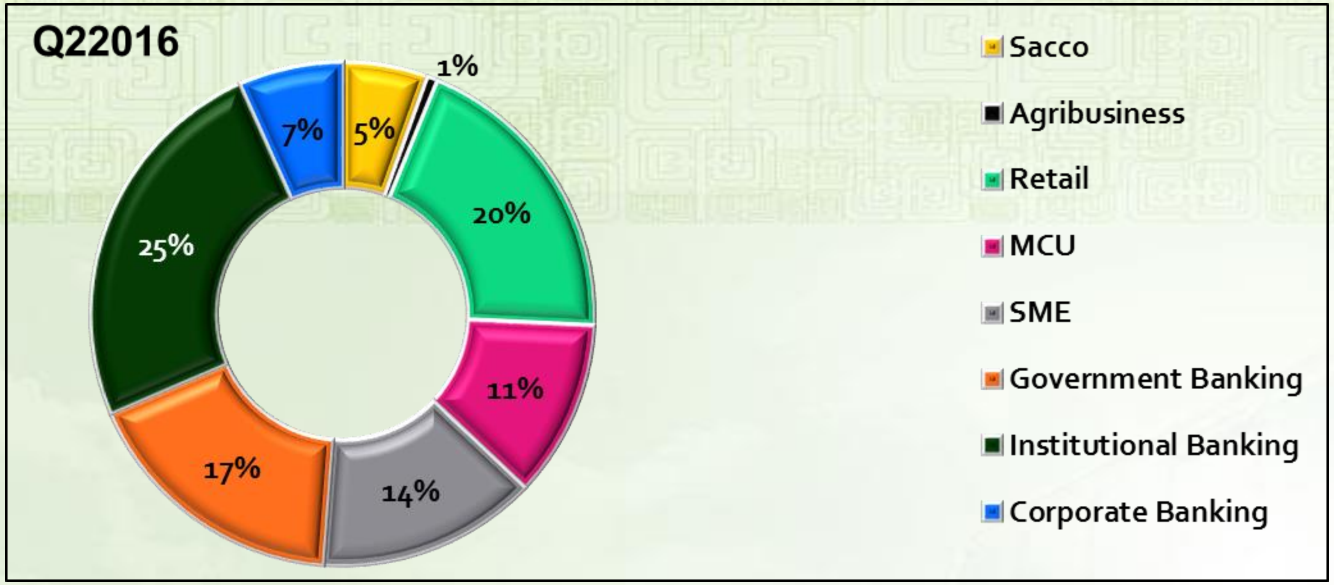
Ksh. Billions	Q2-2016	Q22015	% Change (YoY)		FY 2015
Total Assets	363.0	325.1	11.7%		342.5
Loan book (Net)	221.3	204.8	8.0%		208.6
Government Securities	76.6	50.2	52.6%		60.1
Total Deposits	279.6	252.8	10.6%		268.8
No. of account holders (Millions)	5.97	5.3	12.6%		5.9
Shareholders Funds	57.9	47.1	23.0%		50.2

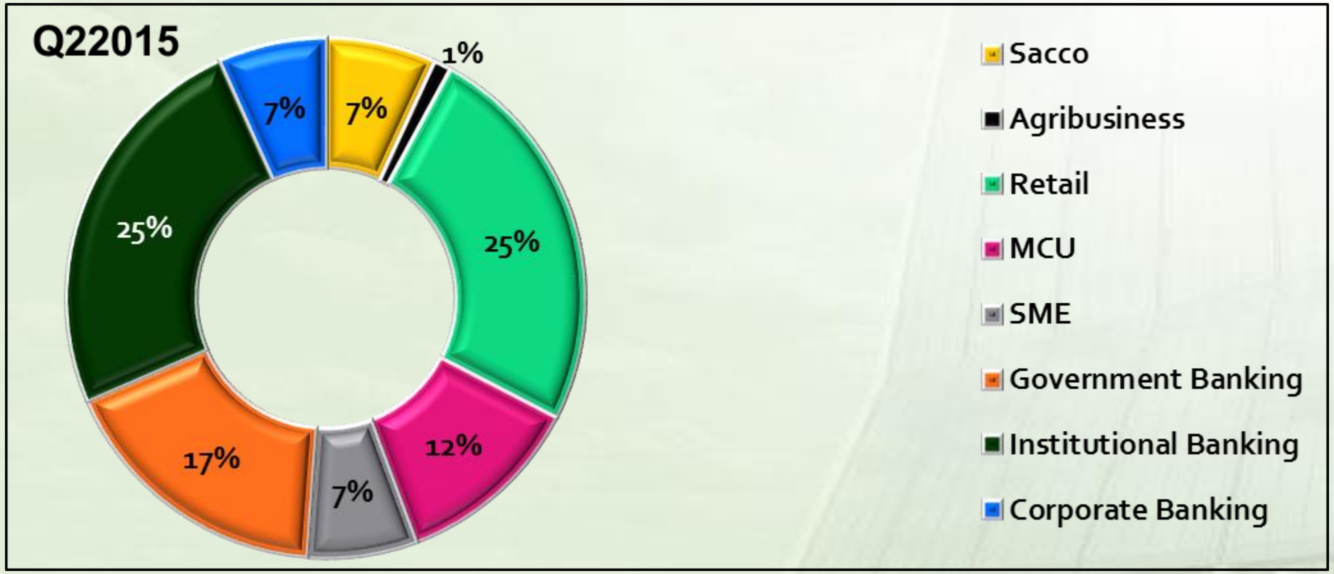
A Soaring Bank - Loan Distribution



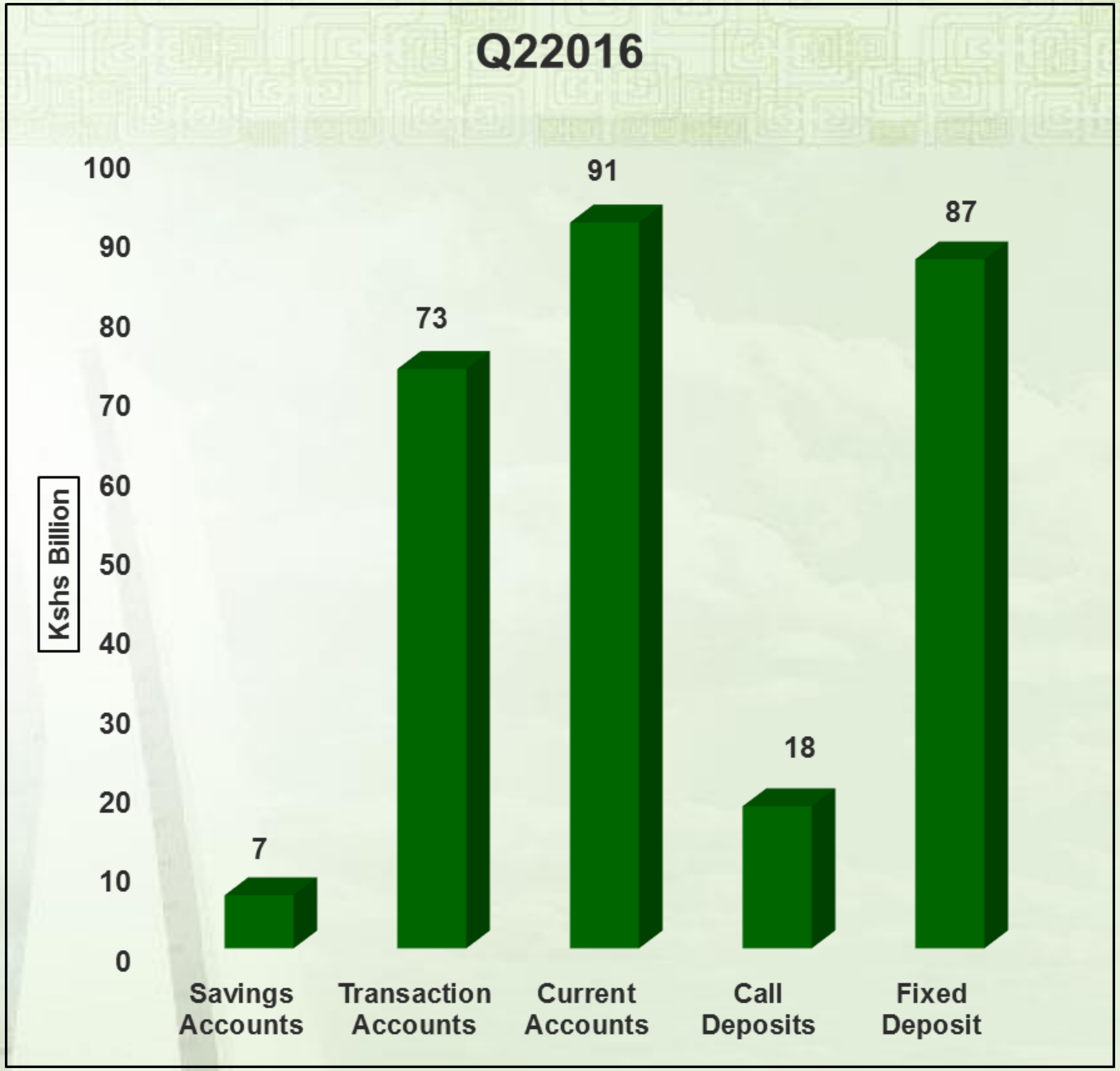


A Well-diversified Liability Portfolio

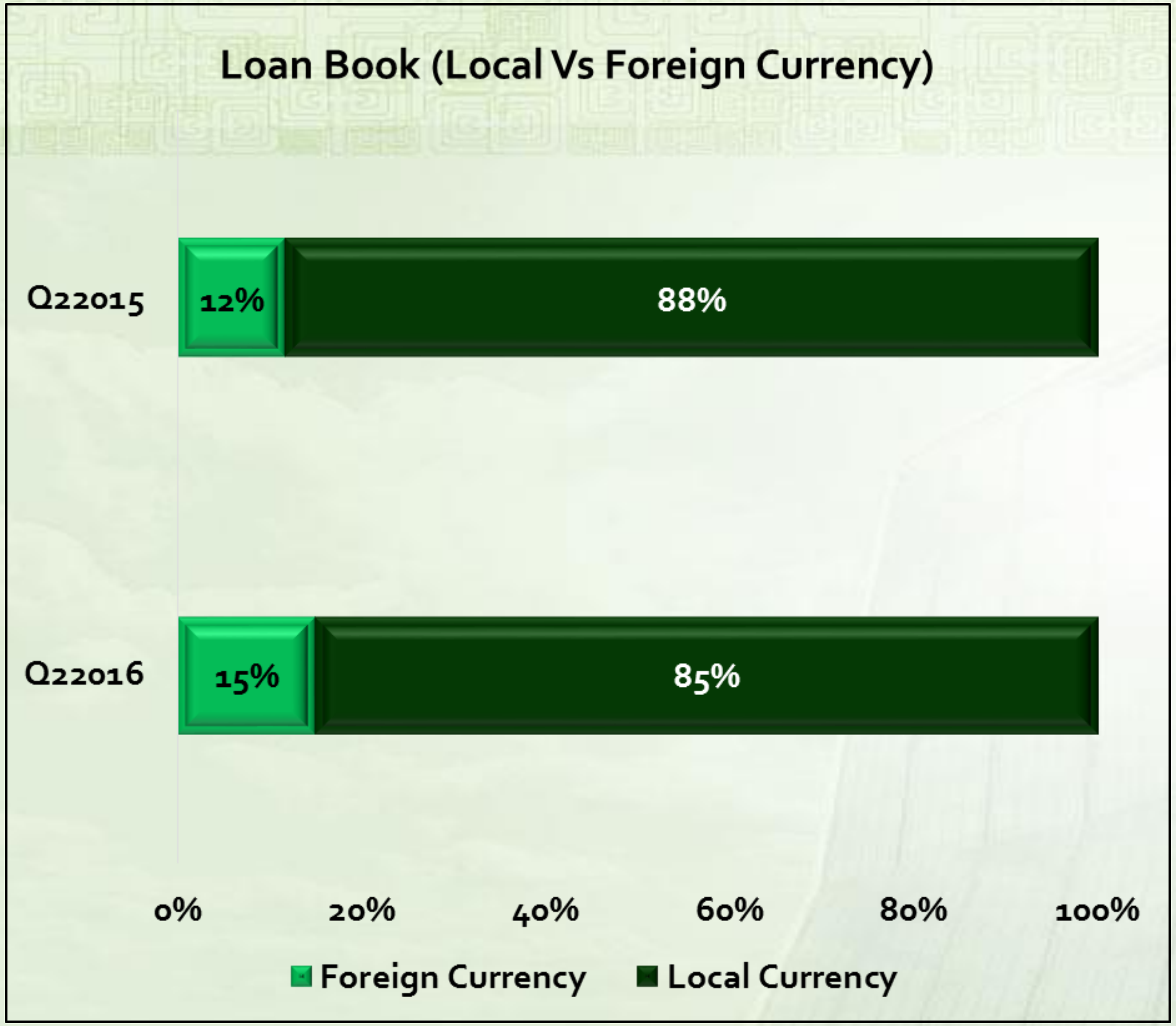


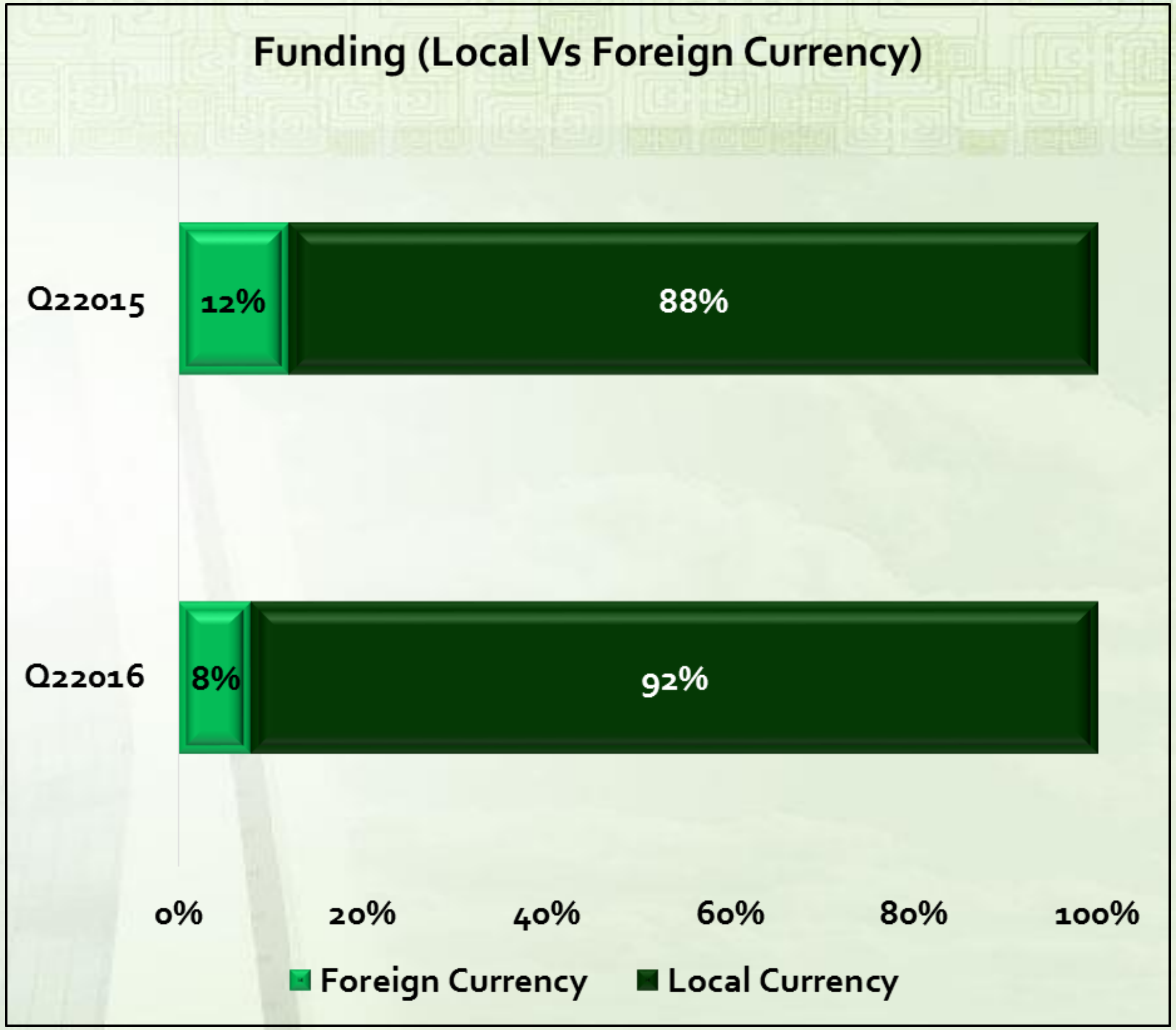


Customer Deposits by account Types (In Billions) Q2-2016



Lending & Funding balances by Currency



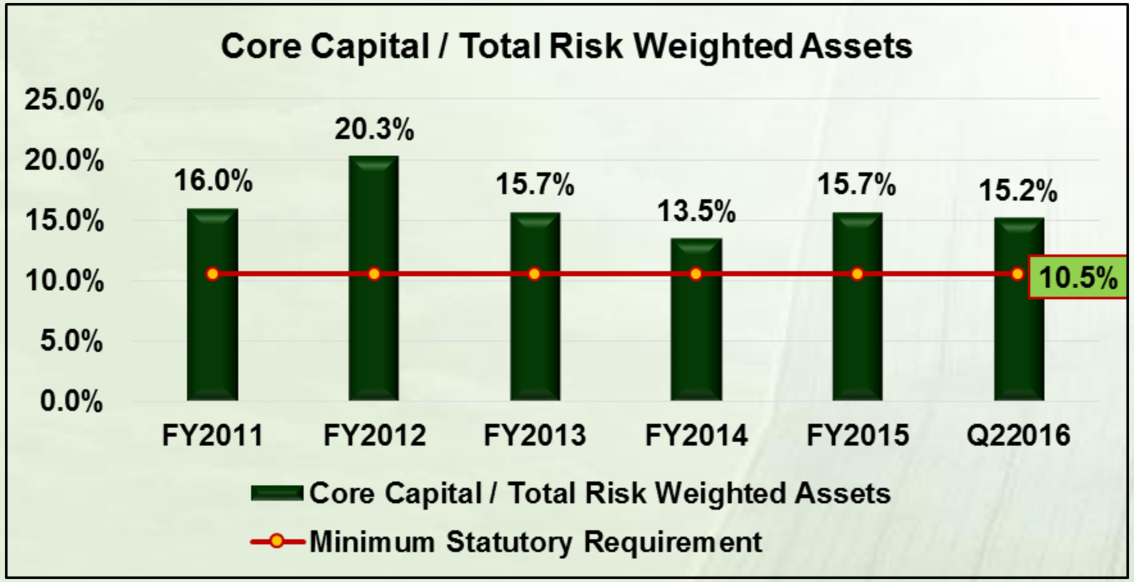


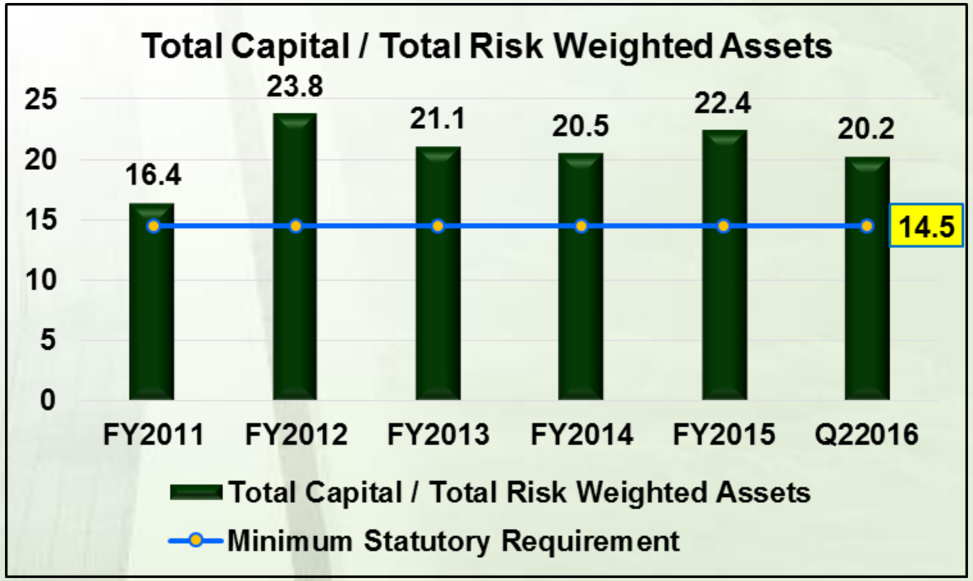
Portfolio Trends Ksh. Millions

	Q2-2016	%	Q2-2015	%	FY - 2015	
Normal	199,036	88.1%	187,792	90.1%	192,513	87.5%
Watch	16,652	7.4%	12,211	5.9%	19,352	8.8%
Substandard	5,903	2.6%	3,096	1.5%	3,305	1.5%
Doubtful	3,675	1.6%	4,527	2.2%	4,188	1.9%
Loss	675	0.3%	701	0.3%	696	0.3%
TOTAL	225,942	100.0%	208,327	100.0%	220,055	100%

CAPITAL ADEQUACY

	Q2 2016	Q2 - 2015	FY 2015
Core Capital / Total Deposits (10.5%)	16.9%	16.1%	17.5%
Core Capital / Total Risk weighted Assets (10.5%)	15.2%	13.8%	15.7%
Total Capital / Total Risk Weighted Asset (14.5%)	20.2%	20.5%	22.4%
Coverage (*Loan loss prov+int in sus /Gross NPL*) -IFRS	41.8%	32.1%	56.6%
Coverage(*Loss loan+int in sus+gen prov*)/Gross NPL- CBK	76.3%	58.2%	87.5%
Liquidity (20%)	41.0%	32.9%	37.1%
NPL / Total Loans	4.1%	3.8%	3.4%
Loans to Deposits	79.2%	81.0%	77.6%





Strong Profitability Growth

Kshs. Billions (except for EPS)	Q2 - 2016	Q2 - 2015	% Change (Y/Y)		FY 2015 (audited)
Interest Income	21.5	16.7	29%		36.8
Interest Expense	7.0	4.9	43%		13.6
Net Interest Income	14.5	11.8	23%		23.2
Fees & Commissions	5.0	4.7	6%		9.5
Forex Income	1.0	1.0	-4%		3.2
Total Income	21.3	17.7	20%		36.4
Loan Loss Provision	1.3	0.7	96%		2
Staff Costs	4.3	3.9	13%		8.9
Total Operating Expenses	11.0	9.1	21%		21.4
Profit Before Tax	10.4	8.8	19%		15.4
Profit After Tax	7.4	6.2	19%		11.7
Basic EPS	1.52	1.28	19%		2.3

Key Profit & Loss Ratios

	Q2 - 2016	Q2 - 2015	FY - 2015
Cost to Income(Excluding Provisions)	45.3%	47.3%	53.2%
Cost to Income (Including Provisions)	51.4%	51.1%	58.8%
Cost of funds	4.76%	3.62%	5.15%
Staff Cost to Total Income	20.4%	21.8%	24.5%
Debt to Equity	25.5%	39.7%	38.4%
Average Return on Equity	28.2%	28.6%	25%
Average Return on assets	4.3%	4.2%	3.7%
FX to Non Funded income	14.2%	16.9%	24.2%
Non - Funded to Total Income	32.1%	33.6%	36.2%
Net Interest Margin(loans)	10.5%	8.8%	9.8%
Effective Corporate Tax Rate	29.1%	28.7%	24.5%

- Cost to Income : The ratio is improving in line with the ongoing transformation strategy
- NIM : Stable and in line with the bank's projections

2015 Financial Outlook

	Actual Q2-2016	Projections FY 2016
Profit Before Tax Growth	19.34%	20%
Loans & Advances Growth	8.03%	10-15%
Deposits Growth	10.61%	10-15%
Cost to Income Ratio	45.30%	50%
Non Funded to Total Income	32.14%	36%
ROAE	28.22%	28%
ROAA	4.31%	4.5%
NPL	4.08%	4.15%
Cost of funds	4.76%	4.5%
Net interest margin (NIM)	10.5%	9.5%
Cost of risk	1.23%	1.2%

Conclusion

- We are pleased with the strong balance sheet and P&L growth of 11.7% and 19.3% respectively, with Q2-2016 Profit Before Tax of Kshs 10.45B compared to Kshs 8.75B in 2015.

- With the increased momentum in the "Soaring Eagle Transformation Agenda", revamped ICT infrastructure, profitable operations in South Sudan, and other new frontiers, the group will continue scaling new heights.

- We look to the future with great excitement and optimism! Thank you for your continued partnership and we invite you to invest more in the great future.


THANK YOU
CO-OPERATIVE BANK
We are you